TCS 2112
01. Business Economics



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Learning Outcomes

- Define Economics and Business Economics
- Understand the Need for Economics
- Explain Basic Economic Problems
- Understand the Basic Problems of an Economy



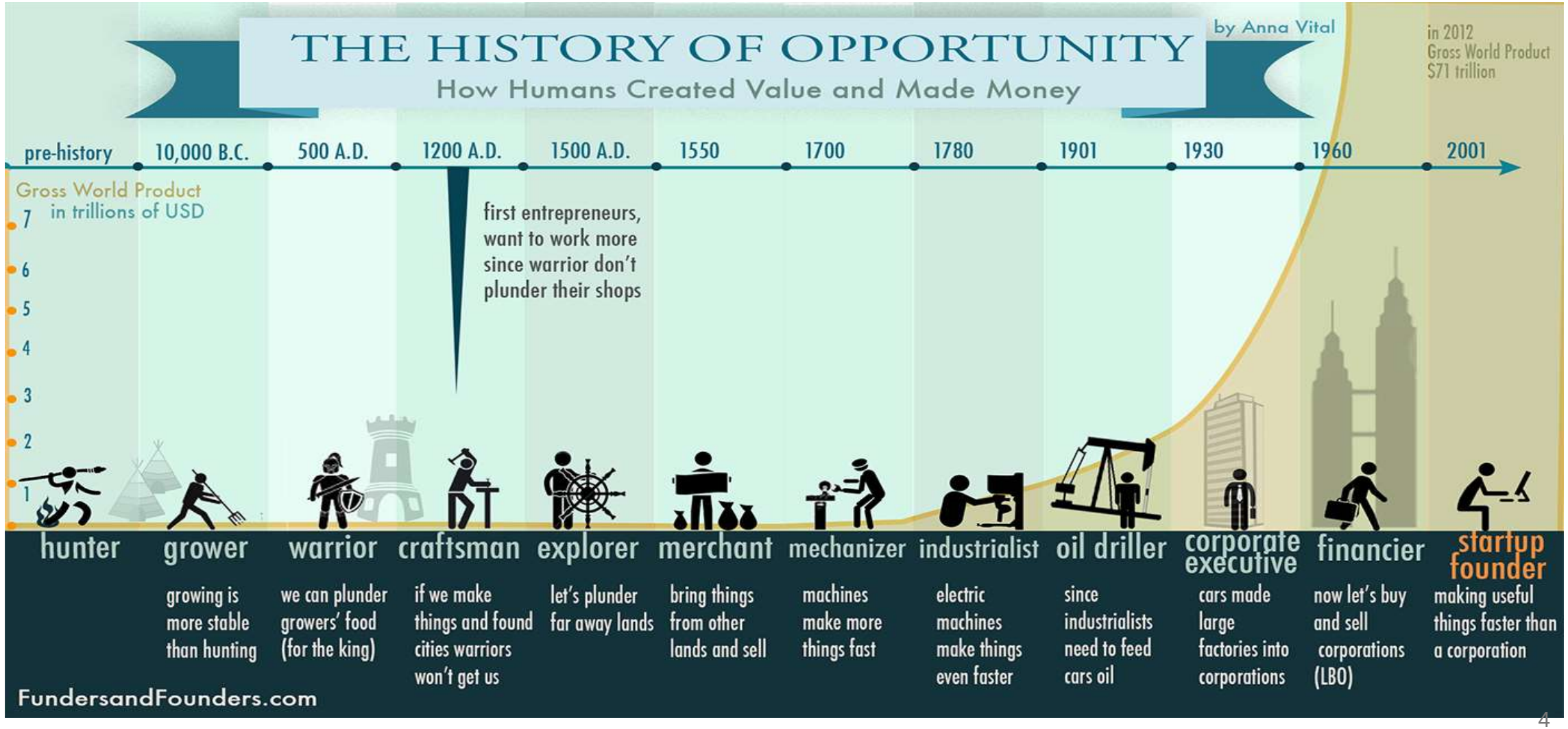
Before Invent Money







History of Economics



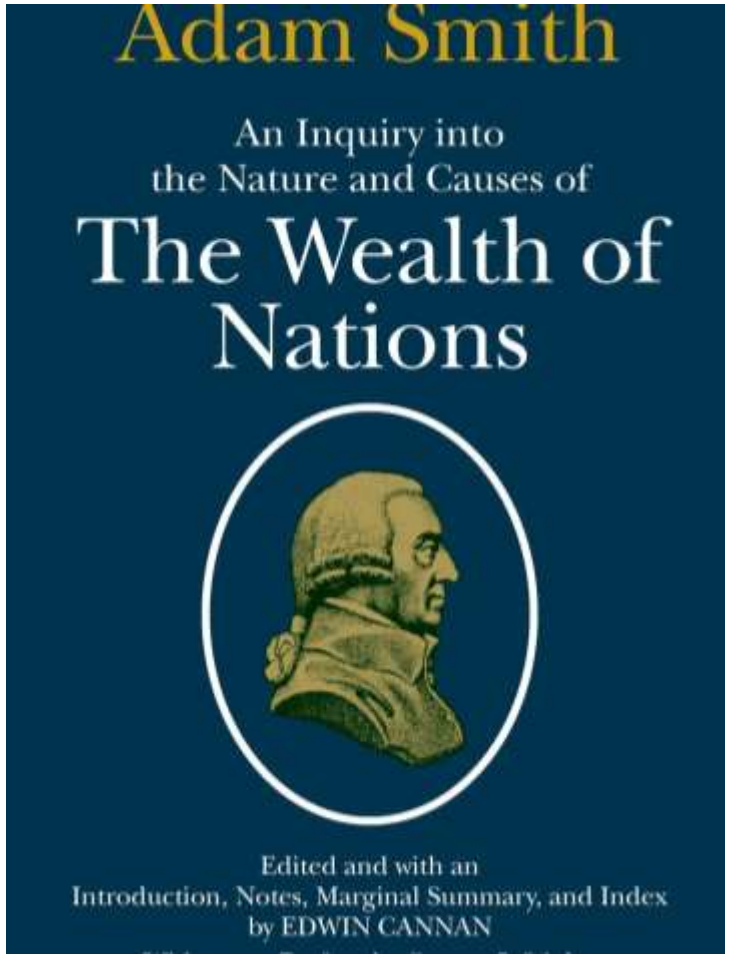
What is economics?

The word '***Economics***' originates from the Greek word '***Oikonomikos***' *which can be divided into two parts:*

*(a) '**Oikos**', which means 'House', and*
*(b) '**Nomos**', which means 'Management'.*

- Economics is known as the queen of social sciences.

Definitions for Economics





Adam Smith

- Father of Economics
- The study of nature and uses of national wealth
- Economics is the "**science of the wealth**"

Definitions for Economics (Cont.)

- “Economics is a study of man’s actions in the ordinary business of life ; it enquires how he gets his income and how he uses it .”- ***Dr. Alfred marshall***
- “the science which studies human behavior as a relationship between ends and scarce means which have alternative uses”- ***Prof Lionel Robbins***

Needs and Wants

Basis for Comparison	Needs	Wants
Meaning	Needs refers to an individual's basic requirement that must be fulfilled, in order to survive.	Wants are described as the goods and services, which an individual like to have, as a part of his caprices.
Nature	Limited	Unlimited
What is it?	Something you must have.	Something you wish to have.
Represents	Necessity	Desire
Survival	Essential	Inessential
Change	May remain constant over time.	May change over time.





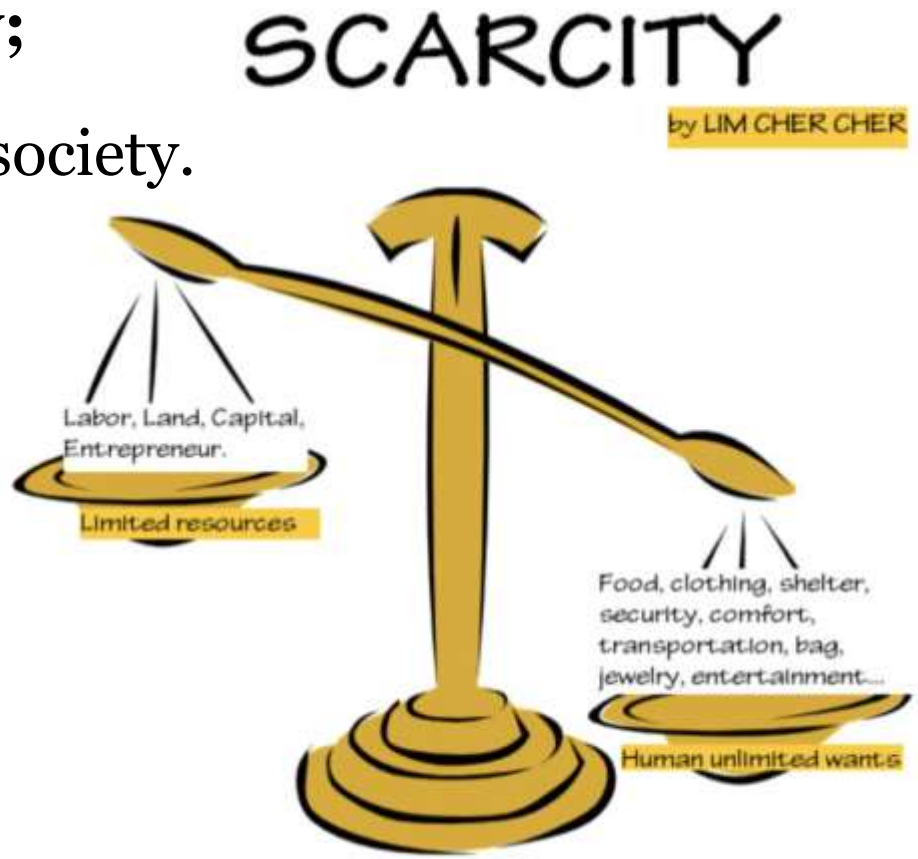
Foundation Concept of Economics

- **Scarcity** is the foundation concept of economics
- What is Scarcity?
  - **Resources are very limited** compared to the **unlimited human needs and wants.**
  - For an individual, resources include time, money, and skill.
  - For a business resources may enable production of goods and services.
  - For a country, limited resources include natural resources, capital, labour force, technology, etc.

Scarcity

Points that emphasize about scarcity;

- Scarcity is a common concept for every society.
- Scarcity is a relative concept
- Not reflect inefficiencies
- Does not mean the poverty



Choice

Choice is the process of deciding which needs of people in society will be met using the scare resources available in an economy.

The question of choice arises for two reasons;

- **Lack of resources**
- **The existence of alternative uses for resources**



Tradeoff

- You can't have it all (SCARCITY – remember?), so you have to choose how to spend your money, time, and energy. These decisions involve picking one thing over all the other possibilities – a TRADE-OFF!

Opportunity Cost

- Opportunity cost refers to the value of the next best option that must be sacrificed when making a choice among alternative choices regarding an economy activity.

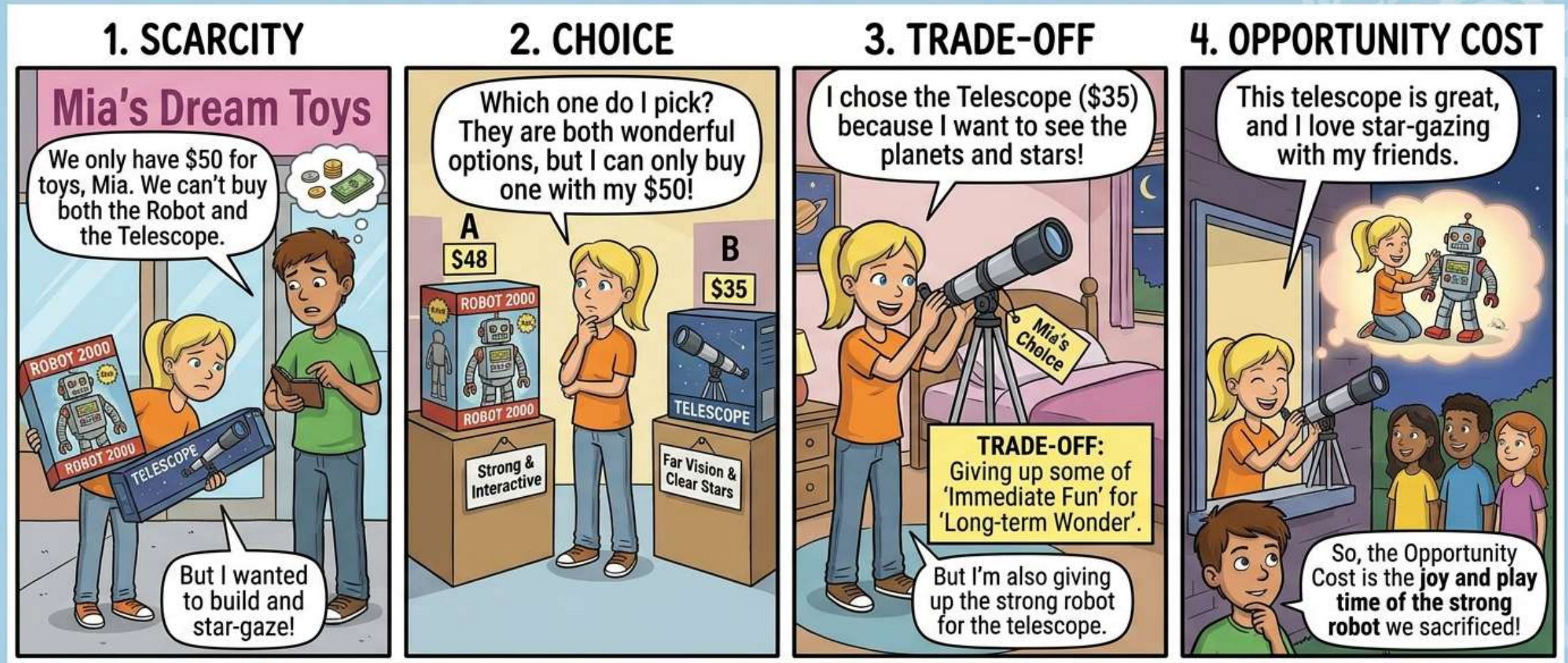
Things to consider when evaluating the concept of opportunity cost;

- Opportunity cost is a concrete concept
- Opportunity cost is a subjective concept
- Not limited to a person making the decision

Opportunity Cost (Cont.)

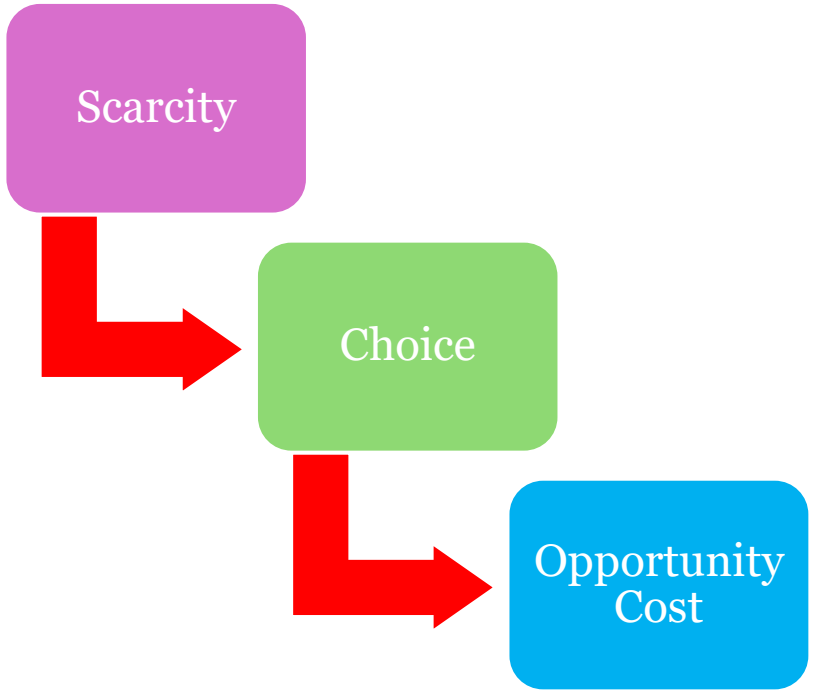
Situations where the opportunity cost can be zero;

- opportunity cost is zero for free goods
- opportunity cost is zero when there are no alternatives
- In the situation of general unemployment



Scarcity, Choice, Trade-off, & Opportunity Cost are Related!

Basic Economics concepts in Nutshell

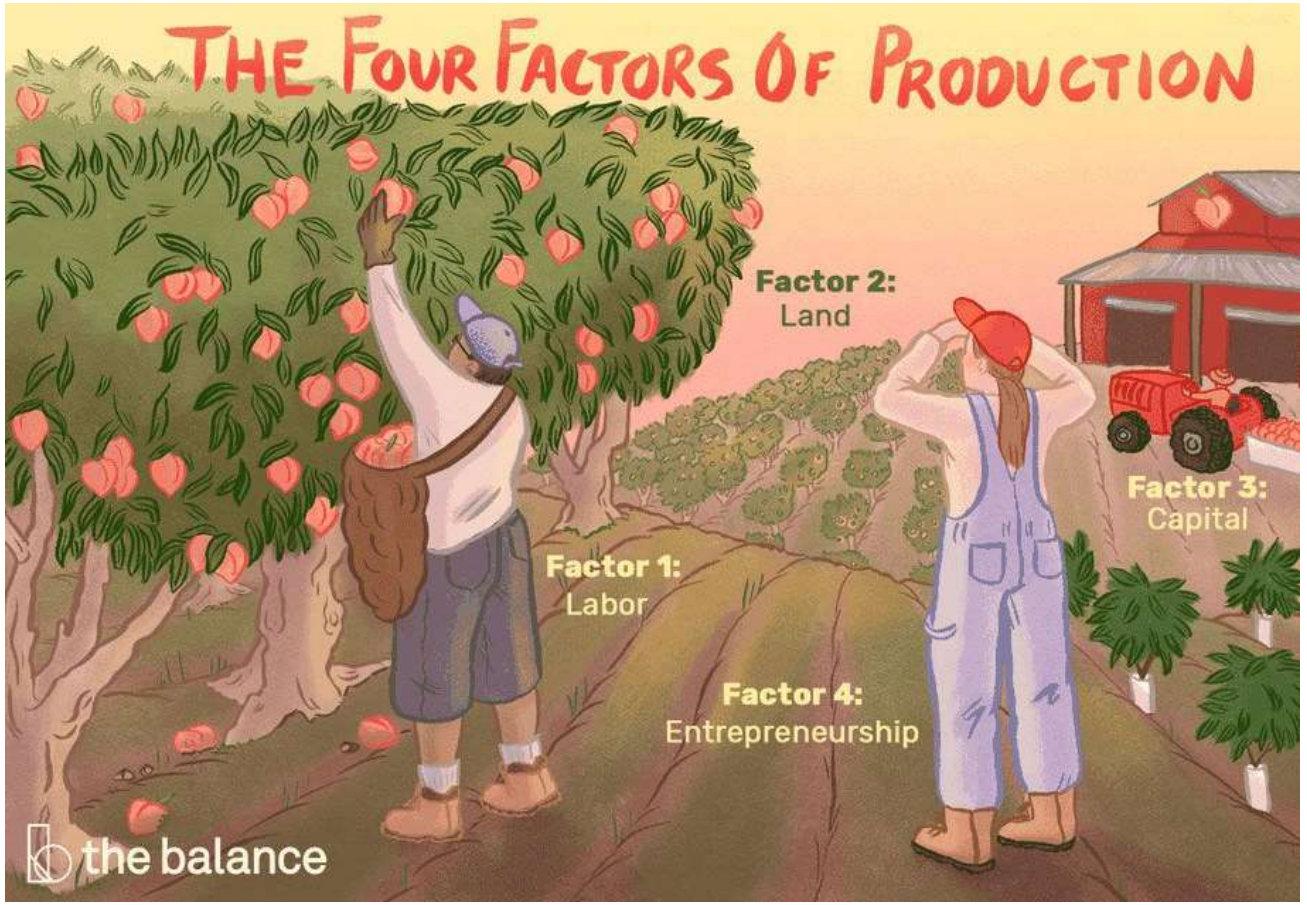




Factors of Production

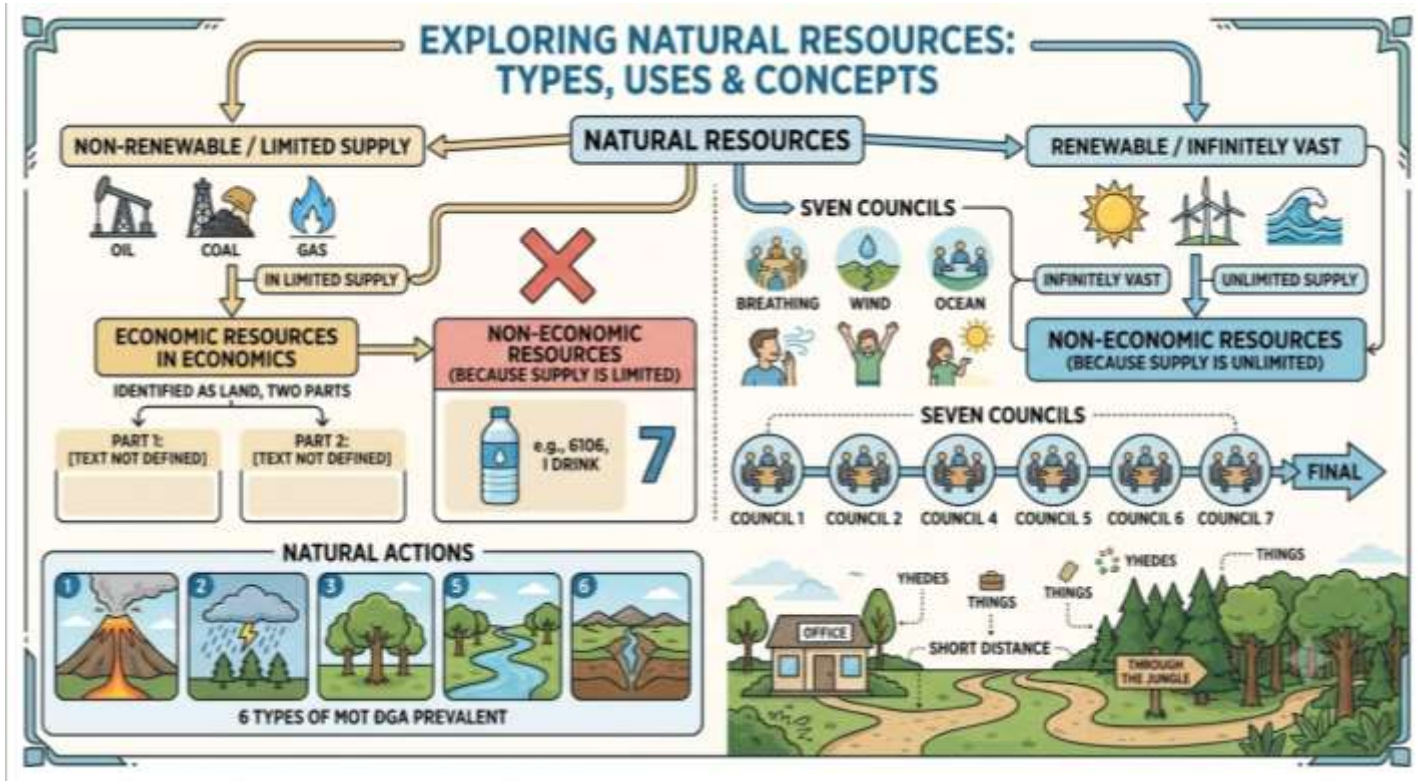
Production factors refer to the factors that are used for produce goods and service to produce income.

- Land
- Labor
- Capital
- Entrepreneurship



Land

- Land includes the natural resources utilize to create goods or service.



Labour

- Labour is the work done by the people in a work force.
- Labour is heterogeneous
- Perishable in nature
- Strongly associate with human effort
- Includes skilled and unskilled workers
- Training improves productivity and quality



Capital

- Capital refers to capital goods or man-made resources.
- Capital goods are distinguished from consumer goods.
  - Fixed capital: ponds, cages, aerators, boats
  - Working capital: feed, fuel, medicines, fingerlings
  - Technology increases efficiency

Ex: Machinery, Buildings, Raw materials

Entrepreneurship

- Entrepreneurship combines, control and manage all the factors of production to produce products or service.
- The man who undertake this process called as entrepreneur.
- Organizing and risk management are the two main functions of the entrepreneur.

What is Economics

- Economics is the study of how people allocate their limited resources to produce goods and services to satisfy their endless wants and to maximize their gains.



Business Economics

- Business economics is the application of economic theory and methodology to solving business problems.



Philosophy of Economics

Positive Economics

Answers the questions, **what is? What happened? What will happen?.**

A statement of fact is used to **show the relationship** between several variables or to explain phenomenon.

The accuracy of such statement can be **tested by empirical evidence** (information gathered from real world). When the positive statement does not match the empirical evidence, then that statement is rejected.

Ex: There is an inverse relationship between money supply and price level

Philosophy of Economics (Cont.)

Normative Economics

- A factual statement can be true or false. Focuses on **what ought to be.**
- These statements are subjective.
- Ex: Income should be distributed equally

  Minimum wages should be increased

Philosophy of Economics



Economics



Economics

Microeconomics

Macroeconomics



Microeconomics

- Microeconomics focuses on analyzing the behavior of various units in an economic system including consumers, workers, production institutions and government.
- Ex: **A customer deciding to buy a smartphone** based on its price, features, and budget.
- **A farmer deciding how much wheat to produce** based on market prices



Macroeconomics

- Macroeconomics is analysis of the structure, performance and behavior of an economic system as a whole.

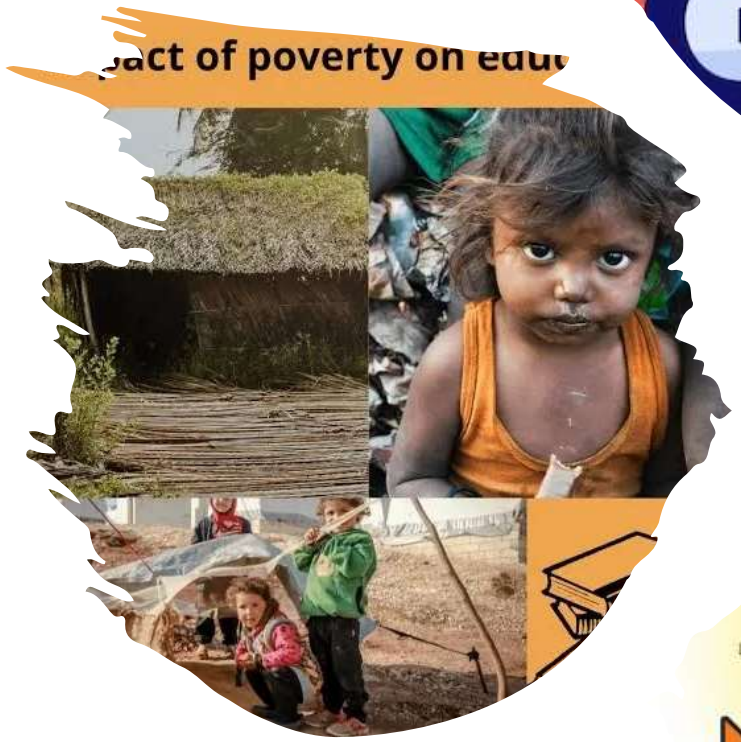
  EX: Inflation

  Unemployment

  Balance payment

  Exchange rate







Fundamental Economic Questions

There are three basic economic problems that every developed and developing society faces in common. These problem arise from the central economic problem of scarcity. They are;

- **What to produce?**
- **How to produce?**
- **For whom are the goods produced?**



What Goods Should Be Produced?

An economy wants many things, but all these cannot be produced with the available resources.

Therefore, an economy has to choose what goods should be produced and what goods should not be.



How to produce?

Which technique should be used for the production of given commodities?

This problem arises because there are **various techniques available** for the production of a commodity

Such as, for the production of wheat, we may use either more of labor and less capital or less of labor or more of capital.



For whom to produce?

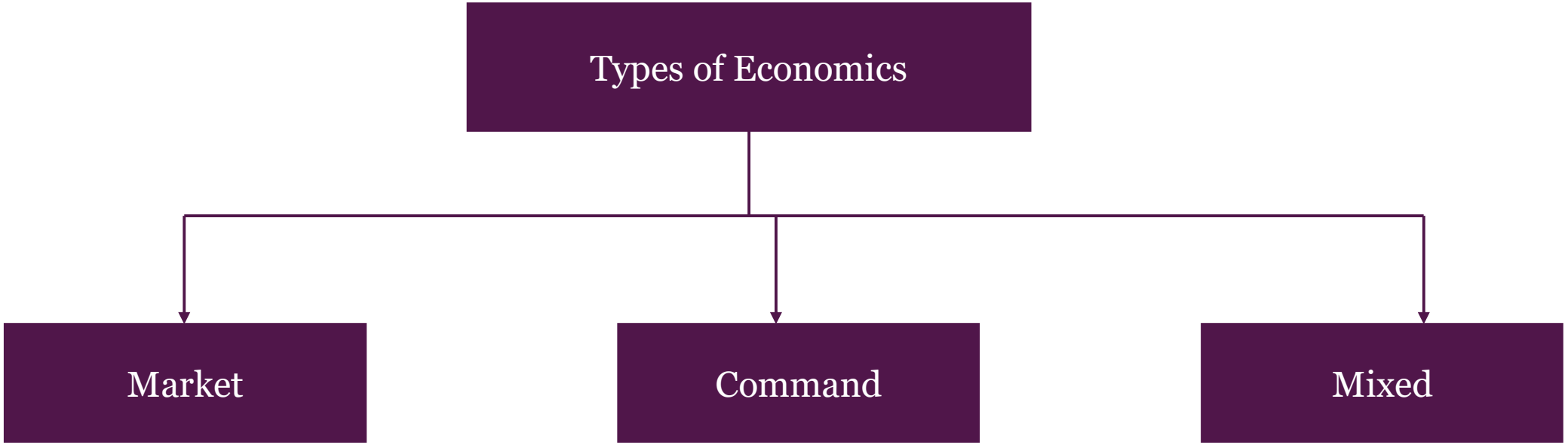
The main objective of producing a commodity is its consumption in the economy.

An Economy has to decide for whom goods should be produced.

This is the problem of the distribution of produced goods and services. Therefore, what goods should be consumed and by whom depends on the distribution of the National Product.

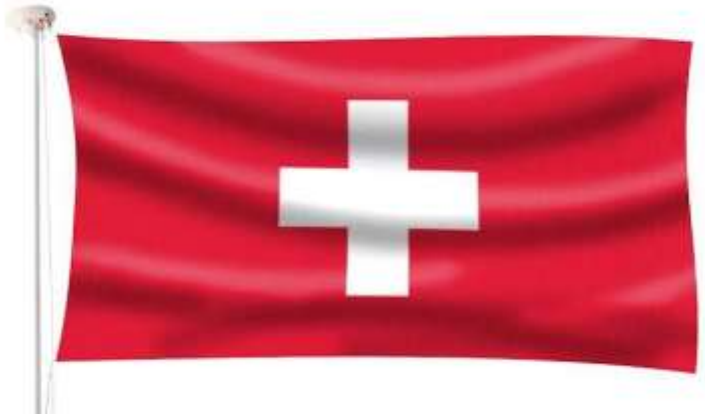


Types of Economics









Market Economy

In a pure market economy, there is no government involvement in economic decisions.

- In a free market economy, economic decisions are primarily made by private individuals and firms.
- Economic questions answered by producers and consumers Wide variety of choices and product

Ex: Singapore, Switzerland, Taiwan

How the free-market answers basic economic questions

1. What? consumers decide what should be produced in a market economy through the purchases they make.

2. How? production is left entirely up to businesses. businesses must be competitive in such an economy and produce quality products at lower prices than their competitors.

3. For whom? in a market economy, the people who have more money are able to buy more goods and services.

Command Economy



- A command economy is an economic system where the central government plans and controls all major aspects of production and distribution of goods and services.
  - Economic questions answered by the government
  - Very little choice
  - No private ownership
  - Communism

  Ex: Old Soviet union, Cuba, Communist china, Noeth Korea



How the command economy answers basic economic questions

1.**What?** A central planning committee decides what products are needed.

2. **How?** Since the Government owns all means of production in a command economy, it decides how goods and services will be produced.

3. **For Whom?** The Government decides who will get what is produced in a command economy.

Mixed Economy

- In the Mixed economies, the Government and the Market work together in decision making .
  - Government involvement and ownership in control of property, decision-making, and companies.
  - Government control of businesses through regulations
  - Social “safety net” for people
  - Socialism

  EX: Common in Europe, Latin America, Asia, and Africa

How the command economy answers basic economic questions

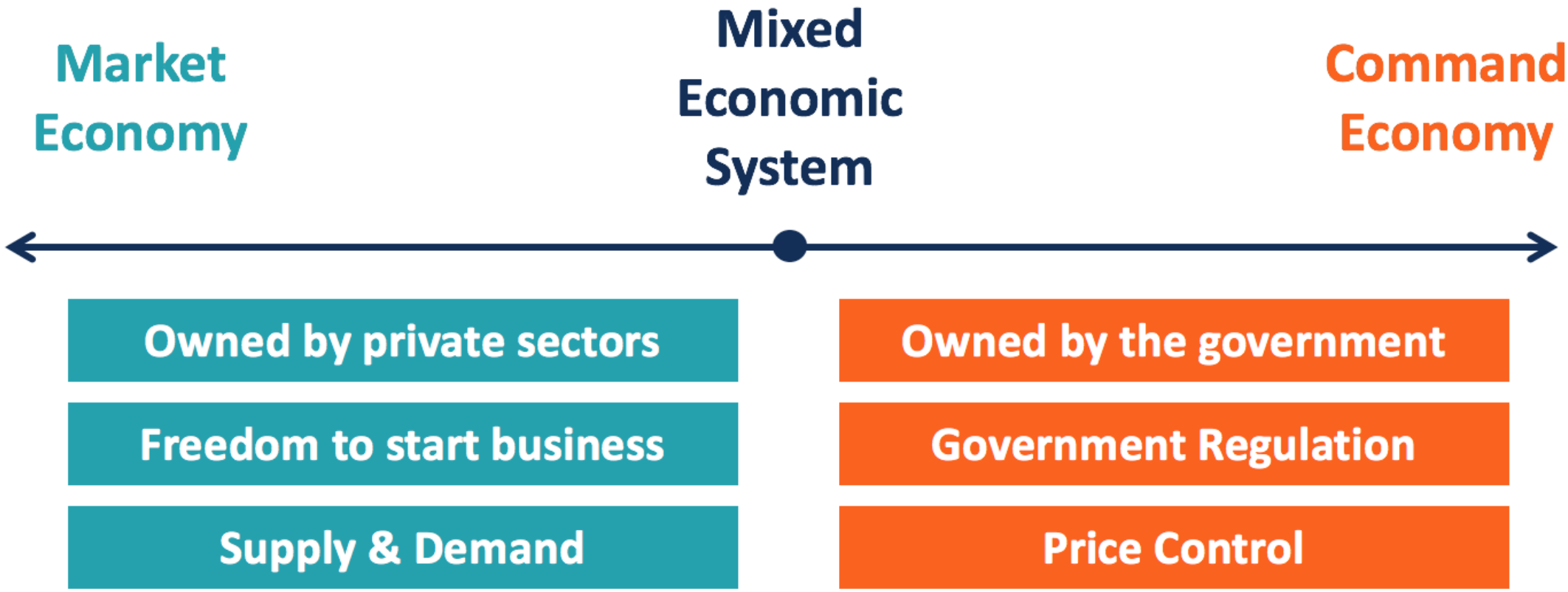
1. **What?** Determined partly by consumer preferences and partly by government.
2. **How?** Determined partly by producers seeking profit and partly by government.
3. **For Whom?** Determined partly by purchasing power and partly by government preference.

What do you think about type of Sri Lankan Economy?





Market Types in Brief…



Why do we learn economics

- To understand the world around us
- To make better personal decisions
- To understand how governments and businesses work
- To Understand Markets and Predict Changes
- To improve society



THANK YOU

DO YOU HAVE ANY QUESTIONS!

